Efficiency and Equity

- **What is efficiency?**

  Producing the goods that society wants at the lowest possible cost

  Masimising production for the lowest possible cost

- **What is pareto efficiency?**

  The situation where trying to make someone better off would also make someone else worse off

  Happens at market equilibrium

- **What are the types of efficiency?**

  Productive efficiency

    Where goods and services are produced at the lowest possible cost

  Allocative efficiency

    Production reflects consumer preferences

  Dynamic efficiency

    Occurs when new technology and innovations are adopted over time

- **What is consumer surplus?**

  The difference between what a consumer is prepared to pay and what they actually pay in the market

- **What is marginal benefit?**

  The extra benefit from consuming one extra unit of good or service

  The more you consumer, the less benefit you gain from each extra unit

- **What is producer surplus?**

  The difference between what a producer is willing to recieve and what they actually recieve in the market

  Usually what they are willing to recieve will be the amarginal cost of production

  Producer surplus = Total revenue - Total cost

- **What is marginal cost?**

The extra opportunity cost of producing one more unit of a good or service

▼ What is total surplus?

The measure of the net benefits to society from the production and consumption of the good or service

The aim for society is to maximise total surplus in every market

CS+PS=TS

TS=TB-TC

Maximised at equilibrium where MC=MB

If the market is producing to the left of the equilibrium where total surplus is not maximised, and the MB exceeds MC, total surplus and resource allocation efficiency could be increased by increaseing production from producers

If the market is producing to the right of the equilibrium where total surplus is not maximised, and the MC exceeds MB, producesr and society are losing money and resources by producing in an surplus

▼ What is deadweight loss?

A loss in total surplus that is avoidable

Not producing at optimal output

▼ What is equity?

Refers to the equal distribution of resources across the society

▼ What are the types of equity?

Vertical equity

  Equity between high and low income levels

Horizontal equity

  To provide everyone with the same opportunity to succeed and ear a high income i.e. equal opportunity

▼ What are policy options to promote equity?

Market restrictions

Price ceilings/floor

Taxes

Subsidies

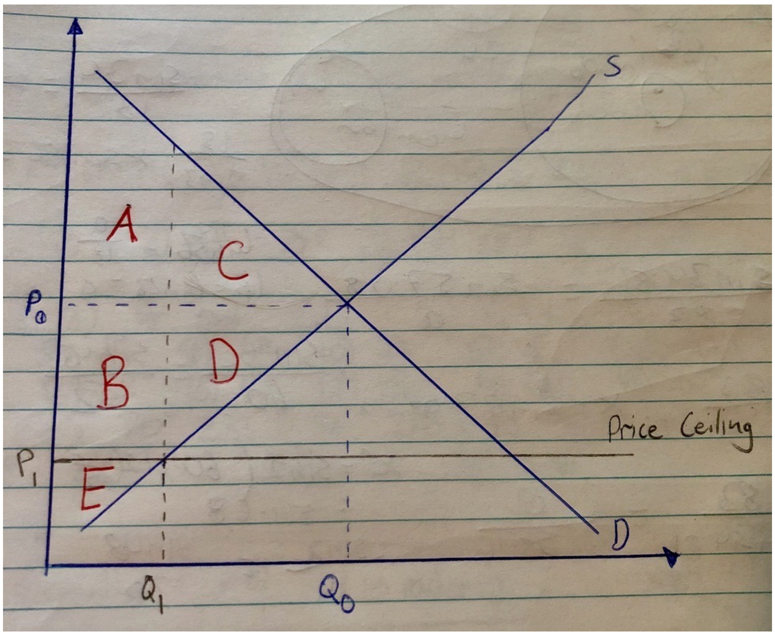
Social security

Enforcement of private property rights

▼ **Describe the impact of price ceilings on efficiency and equity**

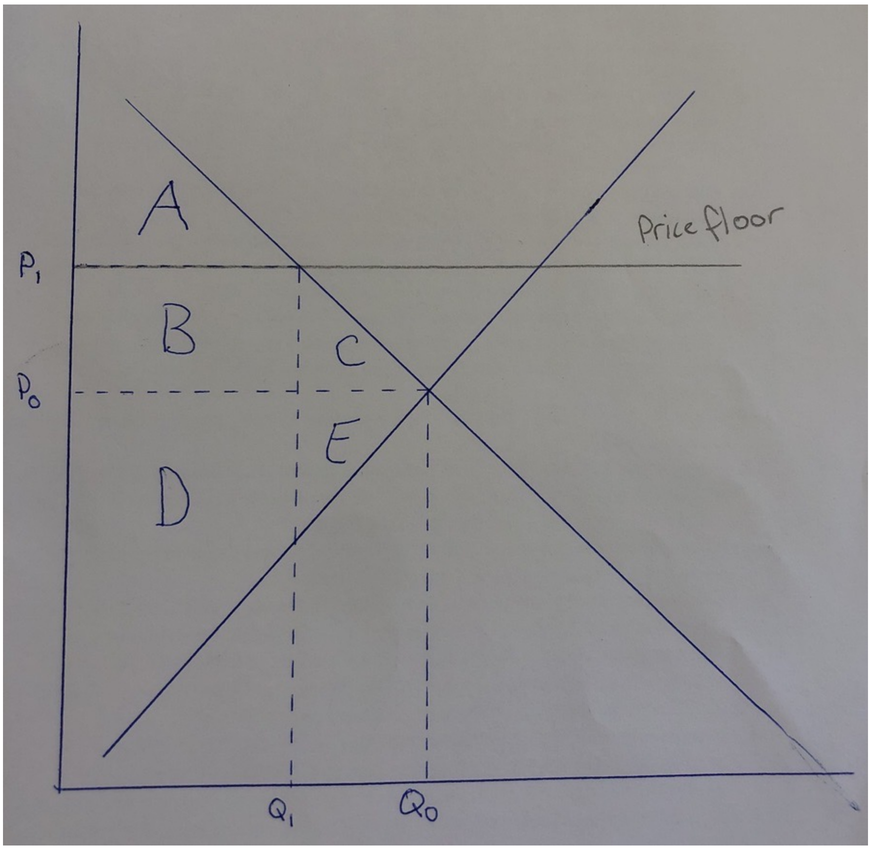
Where the government imposes a maximum price within the market

The price ceiling is drawn below the equilibrium price



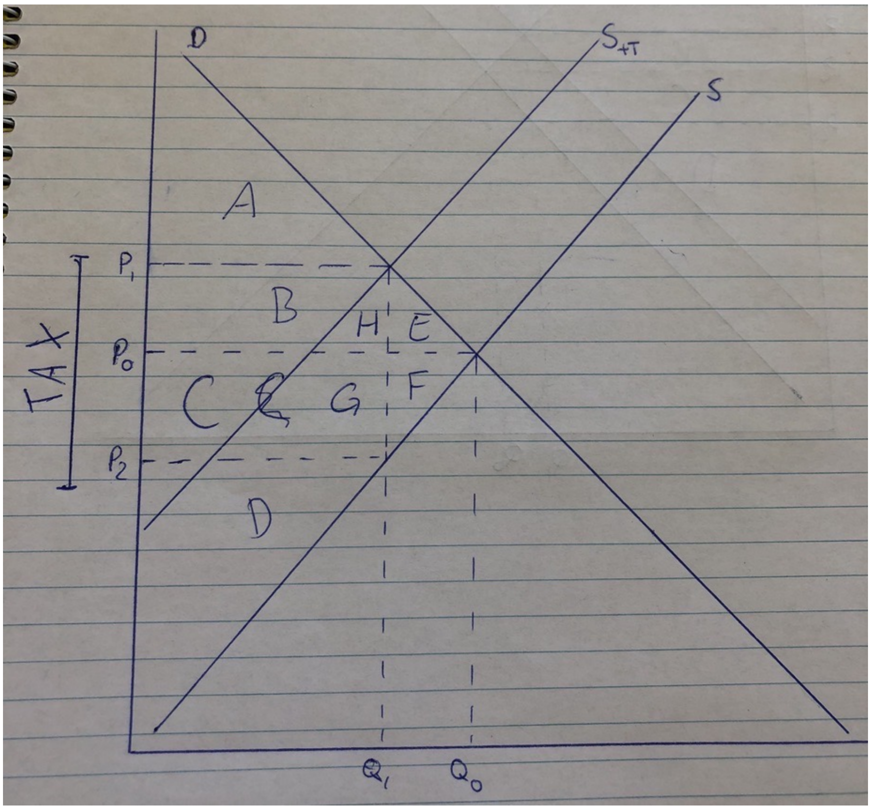
Before the price ceiling when equilibrium was at P0 and Q0, the consumer surplus was originally at areas A and C and producer surplus was at a B, D and E. After the enforcement of the price ceiling the producer must produce at P1 and therefore at Q1, to maximise prduction and thus profits. This alters CS by removing area C and adding area B. PS also changes by removing areas B and D, reducing PS to only area E. Now, CS is greater than it was before indicating a greater benefit of the price ceiling on the consumer, not the producer. This means that areas C and D are now dead weight loss as they are not included in the potential totual surplus of the market, indicating an avoidable loss in market efficiency.

▼ **Describe the impact of price floors on efficiency and equity**



Before the price floor, with the objective of preventing prices of being too low for producers, the equilibrium price and quantity was at P0 and Q0. At this free market the CS was represented by areas A, B and C and the PS in areas D and E. After the price floor was implemented, producers decreased quantity supplied to Q1 and charged a higher subsequent price of P1. This new clearance price and quantity decreases CS to only area A and increases PS to areas B and D, thus benefiting producers rather than consumers. Regions C and E are regarded as DWL as they are not included in the potential total surplus of the market and represent market inefficiency because of the price floor.

▼ **Describe the impact of taxes on efficiency and equity**



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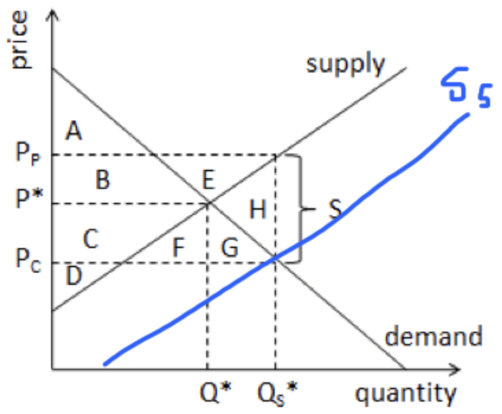
- **Describe the impact of subsidies on efficiency and equity**



	Free Market	Subsidy
Consumer Surplus	A+B	A+B+C+F+G
Producer Surplus	C+D	B+C+D+E
Government Revenue	0	-(B+C+E+F+G+H)
Total Surplus	A+B+C+D	A+B+C+D-H

Deadweight loss in the market will only happen if the market is already mostly inefficient and the government wants more out of that industry and lower prices. The deadweight loss is created because the price the government pays for the subsidy is greater than the benefit to society. The opportunity cost of spending money on a subsidy on an inefficient market is greater than the opportunity cost of spending the same amount of money on an efficient industry or other areas the government needs.

▼ Outline the trade off between efficiency and equity

- Efficiency emphasises maximum economic benefit
- Equity emphasises equal treatment/opportunity
- Government policies options to improve equity often can cause inefficiencies
- Depending on the type of market failure, targeting inefficiency can also improve equity